

Fair trade



The aim of fair trade organizations is to funnel more of the gains from international trade to producers in developing countries. Consider a jar of coffee in the supermarket: fair trade advocates point out that the revenues of the Ethiopian coffee farmer from the sale of the beans that went into the jar form only a fraction of the supermarket price – the rest consists of the costs and profit margins of intermediaries.

When the farmer joins a fair trade scheme, he is guaranteed a minimum price, in return for which he has to adhere to labour and environmental standards. His coffee is sold under a fair trade certification. Western consumers who value fair trade aims are willing to pay a bit more for the coffee. The hope is that such measures smooth the fluctuations in income faced by small farmers in poor countries as the market prices of crops move up and down. However, the fair trade movement can be criticized:

some argue that it does not help the poorest, who are predominantly casual labourers rather than farmers.